v2.0 | February 2023

Performance Management at Directive

Overview

In order to correct issues in performance or conduct, we've developed our Performance Management process. This guide contains an overview of what Performance Management is, the escalating steps in our process, and examples of issues not covered in Performance Management.

What is Performance Management

Generally, Performance Management refers to any method of disciplinary action that uses graduated steps for dealing with an issue in behavior or performance. Each sequential step represents an increase in the severity of the issue being addressed, as well as an increase in the potential consequences an individual may face if a change in behavior or performance does not occur.

Why We Use Performance Management at Directive

- To provide a consistent, transparent, and fair system for dealing with any issue that may arise with employee conduct or job performance
- Ensure that every employee has the knowledge and opportunity to be successful at their job

Goal of Performance Management

The intent of all disciplinary action is to align an employee's performance with the expectations of their role. As a People First organization, it is important that all disciplinary action start with an assumption of positive intent by all people involved:

- **Person Providing Feedback** - all feedback and disciplinary actions should be provided from an assumption that the employee was acting with their own best interest in mind, as well as the best interest of Directive and our clients. Although the results or outcomes of

the employee's actions were not "positive", and a change is necessary, our approach should assume the employee *is* capable of achieving the desired results and ultimately wants to be successful. This positions the conversation to focus on the opportunities for improvement, instead of blaming or shaming.

- **Person Receiving Feedback** - when receiving feedback or disciplinary action, an employee should start from the assumption that the person providing the feedback has the recipient's best interest in mind, as well as the best interest of Directive and our clients.

To this end, the ultimate goal and desired outcome of Performance Management is a positive change in employee performance, and the mutual success of both the employee and Directive.

***Note**: the purpose of Performance Management is not to punish the employee, but to provide constructive feedback on what is needed to be successful in their role.*

Who is Eligible for Performance Management?

Every employee at Directive, including full-time, part-time, and temporary employees. External vendors and contracted employees are not eligible for performance management, but are expected to follow our code of conduct and all applicable workplace laws.

Steps of Performance Management

The steps of our Performance Management process were created to inform our employees of an issue, and allow them the resources and opportunity to improve their performance or correct the identified issue. In most cases, we follow a linear pattern, moving from one graduated step to another. However, some steps may be combined or skipped depending on the circumstances of a situation, and the severity of the issue that is being addressed.

Informal Feedback (In-the-moment Feedback)

Most performance or conduct-related issues that occur can and should be resolved with informal, in-the-moment feedback. This type of feedback should occur on a regular basis, and is not considered Performance Management. However, an issue that started as in-the-moment feedback can advance to Performance Management if no change in performance or conduct occurs.

Performance Management Begins

1. Formal Feedback (Coaching Conversation)

Formal Feedback is the initial step in Performance Management and is intended to formally bring attention to a performance or conduct issue. Formal Feedback should be delivered in private by an employee's direct manager and documented in Lattice (in the notes of a 1:1, or using the "give feedback" feature). The manager is expected to clearly describe what the expectation is, and the steps the employee must take to improve their performance or resolve the problem.

2. Performance Discussion Record (PDR)

A Performance Discussion Record, or PDR, is more formal documentation of a performance or conduct issue and will be recorded.

To complete a Performance Discussion Record (PDR):

1. HR creates a copy of the PDR template Performance Discussion Record template and share's with manager to fill out all necessary information.
2. Prior to the PDR meeting, the manager completing the PDR will let their HR partner know the PDR is ready for their review and feedback.
3. The manager and employee meet via Zoom to discuss the content of the PDR, and the next steps to be taken with the meeting recorded and shared with HR.
4. Following the PDR meeting, the manager completing the PDR should send an email confirming the topics discussed, including a PDF copy of the Performance Discussion Record as an attachment. The email should be addressed to the employee, and should also include HR@directiveconsulting.com.
5. The employee should "reply all" to the email, confirming the topics discussed, and next steps.
6. HR will upload the PDR to our Human Resource Information System (HRIS), noting the date from the email.
7. PDR's do not have a specific end date and it should be communicated to the employee that sustained changes are needed.
8. The manager must follow-up via weekly 1:1s and documentation in Lattice and in the PDR doc.
    - Adjust their schedule to help the person on the PDR succeed. More than 1x a week meeting may be necessary depending on the PDR content.

3. Performance Improvement Plan (PIP)

A Performance Improvement Plan, or PIP, is a time-based action plan that is agreed to by both the employee and their manager. All Performance Improvement Plans must include:

- A deadline (typically 45 days) for when a specific change in behavior or corrective action should take place
- The potential consequences if a change does not occur

To complete a Performance Improvement Plan (PIP):

1. HR creates a copy of the PIP template Performance Improvement Plan template and shares it with the manager to fill out all necessary information.
2. Prior to the PIP meeting, the manager completing the PIP should send the PIP to their HR Partner for their review and feedback.
3. The manager, employee, and HR Partner meet via Zoom to discuss the content of the PIP, the deadline for the specific change in performance or behavior that should take place, and the potential consequence should no change in performance or behavior occur.
4. Following the PIP meeting, the manager completing the PIP should send an email confirming the topics discussed, including a PDF copy of the Performance Improvement Plan as an attachment. The email should be addressed to the employee, and should also include HR@directiveconsulting.com.
5. The employee should "reply all" to the email, confirming the topics discussed, and the deadline for the specific change in performance or behavior.
6. HR will upload the PIP to our HRIS, noting the date from the email.

4. Change in Position or Termination

The last, and most serious step, in the Performance Management process is a recommendation for a Change in Position or Termination of employment. Generally, we provide warnings in the form of Formal Feedback, Performance Discussion Records, and Performance Improvement Plans before proceeding to a recommendation for a change in position or to terminate employment. However, Directive may combine, or entirely skip, steps in our Performance Management process depending on the circumstances of the situation, and the severity of the issue that is being addressed. This means an employee may be terminated without prior notice or disciplinary action.

All recommendations for a change in position, or to terminate employment, must be approved by the People Operations team, and the highest level overseeing that business unit.

Issues that are *NOT* Subject to Performance Management

Behavior that is illegal is not subject to Performance Management and may result in immediate termination. In situations such as this, the illegal behavior may also be reported to local, state, provincial, or federal law enforcement authorities.

Theft, substance abuse, harassment, fighting, or the threat of violence are also ***NOT*** subject to Performance Management and may result in immediate termination.

Documentation

The employee will be provided copies of all written documentation from our Performance Management process, including Performance Discussion Records, and Performance Improvement Plans. In some cases the employee will be asked to sign copies of this documentation to confirm their receipt and understanding of the corrective action contained in the documents.

Electronic copies of these documents will be stored in the employee's official personnel file in our HRIS.

If you have any feedback about this process, please fill out this feedback form for the Employee Experience team.